

9. 9:00 AM CASE NUMBER: C24-02905
CASE NAME: JOSEPH SIMONI VS. AIDEN KEETON
*HEARING ON MOTION IN RE: STRIKE PUNITIVE DAMAGES
FILED BY: KEETON, AIDEN MICHAEL
TENTATIVE RULING:

The Court continues the hearing, *sua sponte*, on this Motion to February 4, 2026 at 9:00 a.m.. No appearance is required on January 21, 2026.

10. 9:00 AM CASE NUMBER: C24-03379
CASE NAME: NAGESWARA VELINEDI VS. CAPITAL BENEFIT, INC.
*HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS AND REQUEST FOR ATTORNEY'S FEES AND COSTS IN THE AMOUNT OF \$4,150.00
FILED BY: CAPITAL BENEFIT, INC.
TENTATIVE RULING:

Before the Court is Defendants Capital Benefit, Inc., Provident Trust Group FBO George S. Simmons Rollover IRA #3900656 and Lawrence E. Elkins and Norma J. Elkins, Trustees and Lawrence C. Henig, Trustee's Motion to Expunge *Lis Pendens* and Request for Attorney's Fees and Costs ("Motion").

Defendants' unopposed request for judicial notice is **granted**. (Cal. Evid. Code § 452 (c), (h).)

Initial Consideration

"[E]lectronic exhibits **must include** electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit." (Cal. R. Ct. 3.1110 (f)(4) emphasis added.) Plaintiff's declaration in support of her opposition includes two exhibits. However, it fails to include bookmarks to each of the exhibits. Likewise, Defendant Total Lender Solutions' declaration includes exhibits without electronic bookmarks. Counsel is reminded to comply with the Rules of Court going forward.

Factual Allegations and Background

On May 15, 2023, Plaintiffs obtained a loan in the amount of \$590,000 ("Loan") from Defendants Provident Trust Group FBO George S. Simmons Rollover IRA #3900656 and Lawrence E. Elkins and Norma J. Elkins, Trustees and Lawrence C. Henig, Trustee ("Beneficiary Defendants"). The Loan was secured by a deed of trust recorded against real property located at 3391 Glencoe Circle in San Ramon, California (the "Property"). Defendant Capital Benefit, Inc. was the loan servicing agent for the Beneficiary Defendants. Pursuant to the Loan, Plaintiff was required to make monthly payments of just over \$6,000. The Loan was a junior loan on the Property, as there was another 'senior loan' already in place.

Plaintiff failed to make their first monthly payment which was due on July 1, 2023. Defendants began discussions with Plaintiffs regarding the default. As the default had not been remedied, the

Beneficiary Defendants recorded a Notice of Default and Election to Sell Under Deed of Trust (“NOD”) to be recorded on January 3, 2024. Plaintiffs promised to begin making monthly ‘catch up’ payments to cure the delinquencies in the Loan, so on April 12, 2024, the Beneficiary Defendants recorded a Notice of Rescission on the initial NOD.

When Plaintiffs failed to make the monthly ‘catch-up’ payments, the Beneficiary Defendants recorded a second NOD against the Property on May 13, 2024. On August 16, 2024, a Notice of Trustee’s Sale was recorded against the Property. The public auction was originally set for September 12, 2024.

On September 10, 2024, Plaintiffs and Beneficiary Defendants entered into a Forbearance Agreement. It obligated the Beneficiary Defendants to postpone the nonjudicial foreclosure sale to October 23, 2024, if Capital Benefit received a check from Plaintiffs in the amount of \$45,000 by September 10, along with other terms. The other term included requiring Plaintiffs to provide written proof each month that the senior loan on the Property was current.

As part of the Forbearance Agreement, Plaintiffs agreed that the NOD would not be rescinded and the foreclosure sale would not be cancelled. Instead, it would merely be extended month to month so long as payments were timely made. Per the terms of the Agreement, if there were any further breaches – such as failure to make timely monthly payments – then the “Trustee Sale shall proceed without further notice.”

Plaintiffs made the \$45,000 payment on or about September 9, 2024. The first monthly payment was due by October 10, 2024. Capital Benefit did not receive the first payment by October 10, 2024. It also did not receive written proof that the senior loan was current.

Plaintiff declares that she attempted to make the first monthly payment on October 9, 2024, through Capital Benefit’s website, but her account was locked. She then contacted Marcel Bruetsch at Capital Benefits and asked for a link to make the payment. She did not receive any link. She asserts that she had every intent to make the monthly payments under the Forbearance Agreement.

As the payment was not timely received, the Beneficiary Defendants moved forward with the nonjudicial foreclosure sale on October 23, 2024.

Plaintiff filed her complaint on December 13, 2024.

Legal Standard

“[A] lis pendens is recorded by someone asserting a real property claim, to give notice that a lawsuit has been filed which may, if that person prevails, affect title to or possession of the real property described in the notice.” (*Federal Deposit Ins. Corp. v. Charlton* (1993) 17 Cal.App.4th 1066, 1069, citing CCP §§ 405.2, 405.4, 405.20.) Under Code Civ. Proc. § 405.30, at any time after a notice of pendency of action has been recorded, any party with an interest in the real property may apply to the Court to expunge the notice.

“The expungement statutes provide that a lis pendens may be expunged on three grounds: (1) ‘the pleading on which the notice is based does not contain a real property claim’ (Code Civ. Proc., § 405.31); (2) ‘the claimant has not established by a preponderance of the evidence the probable validity of the real property claim’ (Code Civ. Proc., § 405.32); or (3) ‘adequate relief can be secured to the claimant by the giving of an undertaking’ (Code Civ. Proc., § 405.33).” (*Carr v. Rosien* (2015) 238

Cal.App.4th 845, 857.) Probable validity is met when the Plaintiff establishes her claim by a preponderance of the evidence. (Code Civ. Proc., § 405.32.)

“Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim.” (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647 citing Cal. Code Civ. Proc. § 405.30.)

The party prevailing on an expungement motion must be awarded reasonable attorney fees and costs incurred in making or opposing the motion unless the court finds the other party acted with “substantial justification” or that other circumstances make the imposition of attorney fees and costs “unjust.” (Code Civ. Proc., § 405.38.)

Analysis

As noted above, a “lis pendens may be expunged if the action does not contain a real property claim **or** the claimant fails to establish the probable validity of the real property claim.” (*Newell v. Superior Court* (2024) 107 Cal.App.5th 728, 735 quoting *De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1275 emphasis added.)

Defendants do not argue that the Complaint does not state a real property cause of action. Indeed, they concede that the Complaint contains three ‘real property’ causes of action: wrongful foreclosure (5th CoA), cancellation of instrument (6th CoA), and declaratory relief (7th CoA). (Motion at 8:2-7.) Instead, the motion to expunge focuses on the second ground – *i.e.* that Plaintiffs have failed to establish the probable validity of those real property claims. As Plaintiff addresses the first ground in her opposition, the Court will address both situations.

Real Property Claim

As to the first ground, “the court must expunge a lis pendens if the court finds the pleading on which the lis pendens is based does not contain a real property claim.” (*Newell*, 107 Cal.App.5th at 735.) “In determining whether a pleading contains a real property claim, the court engages in ‘a demurrer-like analysis.’” (*Ibid.* quoting *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647-48.) “Rather than analyzing whether the pleading states any claim at all, as on a general demurrer, the court must undertake the more limited analysis of whether the pleading states a real property claim.” (*Kirkeby* 33 Cal.4th at 648 citations omitted.) “Review ‘involves only a review of the adequacy of the pleading and normally should not involve evidence from either side, other than possibly that which may be judicially noticed as on a demurrer.’” (*Ibid.* citations omitted.)

Plaintiff’s Complaint sets forth several causes of action which assert real property claims. As noted above, Defendants concede that the fifth, sixth, and seventh causes of action state real property claims. Plaintiff also asserts that the first cause of action for breach of contract – *i.e.* the deed of trust – states a real property claim. As there is at least one cause of action that asserts a real property claim, the first prong of the expungement analysis is met. As discussed more fully below, whether the breach of contract claim is deemed to be a ‘real property cause of action’ or not does not materially change the Court’s analysis as the basis for that claim is the same as the other real property claims. As such, the ‘probability of prevailing’ analysis is the same.

Based on the above, the Court finds that the Complaint that forms the basis of the lis pendens

contains a real property claim.

Probability of Prevailing

“If the claimant *does* plead a real property claim, but the claim pleaded has no evidentiary merit, the *lis pendens* must be expunged upon motion under [Code of Civil Procedure §] 405.32.’ [Citation.]” (*La Jolla Group II v. Bruce* (2012) 211 Cal.App.4th 461, 475; see also *Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4th 1003, 1011-1012.) Under section 405.32, “the court shall order that the notice be expunged if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim.” “Probable validity” means “it is more likely than not that the [plaintiff] will obtain a judgment against the defendant on the claim.” (Code of Civil Procedure §405.3.)

To determine probable validity the court must look beyond the Plaintiff’s pleadings and examine the factual merit of the claim – in effect, forecast the probable outcome at trial. In essence, the Code “requires a minitrial on the merits for making a probable validity finding, not a ‘quasi demurrer-like analysis.’” (*De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1280.) “Nothing in the statute indicates the claimant is only required to make a *prima facie* case regarding the probable validity of the real property claim. Rather, the statute expressly states the standard is preponderance of the evidence.” (*Ibid.* citing Cal. Code Civ. Proc. § 405.32.)

The essence of each of Plaintiff’s real property claims rests on the allegations that Defendants failed to send the Notice of Default and the Notice of Trustee’s Sale (NOTS) to Plaintiffs by personal delivery or certified mail. (Complaint at e.g. ¶¶ 36, 67, 75.)

Defendants present evidence that shows that the NOD and NOTS were indeed mailed to Plaintiffs by first class and certified mail. (Newman Decl. ¶¶ 5-6, Exs. 1-2.) Both the NOD and the NOTS include a “Declaration of Mailing” signed under penalty of perjury confirming they were sent to Plaintiffs, at their home address by first class, certified mail. (*Ibid.*)

The only evidence Plaintiffs submit in opposition is a statement in the declaration of Nageswara Velinedi that the “never received any notices from defendants regarding the foreclosure, a default of the deed of trust or a sheriff’s sale.” (Velinedi Decl. ¶ 12.) Initially, it is worth noting that there is no similar declaration from Plaintiff Sridevi Kota. As such, it is unclear that neither Plaintiff received any notice.

Even if there were a similar declaration, the law is clear that the “trustor need not receive *actual notice* of the trustee’s sale so long as notice is provided to the trustor that is in compliance with the statute.” (*Knapp v. Doherty* (2004) 123 Calp.App.4th 76, 88.) “As one court has held: “We pointedly emphasize, however, that Civil Code sections 2924-2924h, inclusive, do not require actual receipt by a trustor of a notice of default or notice of sale. They simply mandate certain procedural requirements reasonably calculated to inform those who may be affected by a foreclosure sale and who have requested notice in the statutory manner that a default has occurred and a foreclosure sale is imminent.” (*Ibid.* quoting *Lupertino v. Carbahal* (1973) 35 Cal.App.3d 742, 746-47.)

Defendants’ evidence shows that the notices were properly sent in accordance with the statutory and contractual requirements. Plaintiffs presented no evidence to rebut this proper service. The

declaration that Mr. Valinedi did not actually receive the Notices does not negate Defendants' evidence of proper service.

In addition to the above, Defendants present evidence that the Plaintiffs waived any claims regarding notice when they entered the Forbearance Agreement. (Bruetsch Decl. Ex. 2 at p. 2.) Written releases "are binding on the signatories and enforceable so long as they are ... 'clear, explicit and comprehensible in each [of their] essential details.'" (*Skrbina v. Fleming Cos.* (1996) 45 Cal.App.4th 1353, 1368 quoting *Powers v. Superior Court* (1987) 196 Cal.App.3d 318, 320.)

Based on the above, Plaintiffs have failed to establish their burden to show that they will more likely than not prevail on the alleged property claims, however they are titled.

Based on the above, Defendants' motion to expunge the lis pendens is **granted**.

Attorney Fees

California Code of Civil Procedure section 405.38 provides:

The court shall direct that the party prevailing on [a motion to expunge a lis pendens] be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust.

Defendants request attorney fees in the amount of \$4,150.00 based on their time spent preparing the initial motion. In their moving papers, they note they expect to spend another 5 hours reviewing the opposition and preparing a reply, and 2 hours preparing for and arguing the motion. However, they limit the time they are actually seeking be awarded to the initial 8.3 hours spent on the initial motion – not any time spent on the reply and argument. They indicate their rate is \$500 per hour.

Plaintiffs do not oppose or even address this request in their opposition.

The Court finds that Defendants are the prevailing party as their motion is being granted. The Court also finds that Defendant's request for attorney's fees is reasonable. As such, the Court awards Defendant \$4,150 in attorney's fees.

Conclusion

Defendants' motion to expunge the lis pendens is **granted**. As the prevailing party, Defendants are awarded \$4,150 in attorneys' fees, payable within 30 days of entry of this order.

11. 9:00 AM CASE NUMBER: C25-01017

CASE NAME: STEVEN KENT VS. RICHARD KENT

***HEARING ON MOTION IN RE: FOR LEAVE TO FILE 2ND AMENDED COMPLAINT**

FILED BY: KENT, STEVEN JAMES

TENTATIVE RULING:

This hearing is moot and is **vacated**. The Parties submitted a Stipulation and Proposed Order to grant Plaintiff Steven James Kent leave to amend to file a Second Amended Complaint. The Court approved and executed this order on December 30, 2025. No appearance is required on January 21, 2026.